

BofA's Three-Hike Forecast Misses the Real CRE Signal: Rate Cuts Are Dead

The market is pricing 0-1 hikes in 2026. For CRE, the message is clear: expensive money is here to stay.

The most important number in Bank of America's new forecast is not the three quarter-point hikes it predicts for 2026. It is the 10-year yield sitting at 4.51% while oil trades below \$74. That spread is the market's way of saying the conflict premium is gone, and the economic data is not hot enough to justify three hikes. BofA's call is a policy argument, not a market forecast.

The bank believes the Fed should reverse all the rate cuts it made last year because labor data has improved and core inflation was already sticky before the Iran conflict. That is a plausible intellectual case. But the market is not buying it. Fed funds futures are pricing in zero to one hike at most. The bond market is not signaling three hikes.

And the Fed itself, even its hawkish members, tied its aggressive posture to a longer-lasting conflict that has now ended. For commercial real estate capital markets, the BofA debate is a distraction from the real signal: rate cuts are off the table for the foreseeable future. The market has already absorbed that. The question is not whether the Fed will hike three times.

The question is whether the cost of capital will stay at current levels long enough to force more owners into distress. The 10-year yield at 4.51% is the underwriting constraint that matters. It sets the floor for cap rates, the cost of floating-rate debt, and the spread that private credit lenders demand.

A 4.5% risk-free rate means that a stabilized multifamily asset trading at a 5.5% cap rate offers only 100 basis points of spread. That is thin. It leaves no room for rent deceleration, operating expense growth, or capital expenditure surprises. Who benefits from the BofA scenario? Lenders who have already priced in a higher-for-longer rate environment. They are not waiting for the Fed.

They are underwriting to a 10-year yield that stays above 4% through 2027. Borrowers with floating-rate debt who have not hedged are exposed. Every month that the Fed does not cut is another month of negative carry for assets that were financed at low fixed rates in 2021 and 2022. The real tension is not between BofA and the market.

It is between the cost of capital and the income that assets can produce. If the 10-year yield stays at 4.5%, the refinancing wave that hits in 2027 and 2028 will be the most expensive in a generation. Owners who bought at low cap rates with high leverage will face a choice: inject equity, sell at a discount, or hand the keys back.

The market is not pricing in three hikes because it does not need to. The damage is already done. The Fed does not have to raise rates to keep pressure on CRE. It just has to not cut them. That is the scenario that is already priced into every loan application, every asset sale, and every distress workout happening today.

The BofA note is useful not because it is right, but because it forces the market to confront the range of outcomes. If the Fed does hike three times, the 10-year yield would likely push toward 5%, and the refinancing crisis would accelerate. If the Fed does nothing, the current pressure persists. Either way, the window for cheap money is closed. The only question is how long the window stays closed.

For CRE owners, the takeaway is not to bet on the Fed. It is to underwrite to a cost of capital that does not depend on rate relief. The assets that survive this cycle will be the ones that can service debt at 4.5% risk-free rates and still generate a return. Everything else is a timing trade.

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We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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